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INDUSTRY · INDUSTRY · WATER

Water Technology Funnel

Report of 11 Oct 2026 Price at research 82 companies **FAVOR VLTO · AOS · PNR**

Three finalists: Veralto as the core, A. O. Smith as the satellite, Pentair as the turnaround.

WHY

- Only 8 of 82 companies passed the five tests on P/E, ROE, cash conversion, leverage and moat.
- Xylem is eliminated at stage 2: ROE of 8.4% against a 15% bar, while passing the other four tests.
- Water shares lagged in 2026: the large US water funds are between -3.3% and +1.6% against +14.2% for the S&P 500.

SIGNALS TO WATCH

- ☐ Veralto: liabilities/assets above 65%, acquisition multiples
- ☐ A. O. Smith: North American volumes, China losses
- ☐ Pentair: a third guidance cut, pool margin below 30%
- ☐ US water funding, after the infrastructure law money ended on 30 Sep 2026

NEXT CHECKPOINT

Q3 results for Pentair (23 Oct) and Xylem (27 Oct), then Veralto and A. O. Smith in late October and November.

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	30 Nov 2026	**Checkpoint**	Q3 results for Pentair (23 Oct) and Xylem (27 Oct), then Veralto and A. O. Smith in late October and November.
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.

THE FULL REPORT · WATER TECHNOLOGY FUNNEL · 11 OCT 2026

Funnel date: 2026-10-11 · Prices: close 9 Oct 2026 · Market caps in USD Framework: AI Berkshire `/industry-funnel` (whole-market scan, five hard tests, close analysis, four-masters view of the finalists). Written in English at the reader's request. Scope: the industry that both Xylem and Pentair belong to: pumps, flow control, water treatment, filtration, metering, pool equipment and water infrastructure products, worldwide. Companion reports: Xylem research · Pentair research · Xylem vs Pentair quality screen **Educational research only. Not investment advice.**

Currency and your money: this report is written in US dollars. Pentair $52.47 ≈ €46.77 ≈ 250 lei · Xylem $103 ≈ €91.55 ≈ 489 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei. Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Figures in lei and euros are conversions at that day's rate and move with it.

0. The result in one table

STAGE	COMPANIES	WHAT HAPPENED
1. Whole-market scan	**82 listed** + about 10 unlisted	US, Europe, Asia. Core water names, distributors, diversified groups, utilities.
2. Five hard tests	**8 kept**	Utilities and non-pure names set aside. Core names tested on P/E, ROE, cash conversion, leverage and moat.
3. Close analysis	**8**	One structured note each.
4. Finalists	**3 + 2 on watch**	Veralto (core), A. O. Smith (satellite), Pentair (turnaround). Watch: Badger Meter, Mueller Water.

Where the two starting companies ended up: Pentair reaches the final three, as the high-risk slot. **Xylem is eliminated at stage 2** on return on equity (8.4% against a 15% bar), while passing the other four tests.

State of the sector: water shares have had a poor 2026. The three large US water ETFs are between -3.3% and +1.6% for the year against +14.2% for the S&P 500. Pool-related names and the two largest pure plays (Xylem, Pentair) are down 25 to 50%.

1. Stage 1: whole-market scan

1.1 How the list was built

Three groups were merged, as the framework requires: the most actively traded names, the best performers over 30 and 90 days, and the largest by market value. Sources were the holdings of the main water ETFs (PHO, FIW, CGW, IH2O, PIO) plus regional names the ETFs miss. Fundamentals come from StockAnalysis, prices from Yahoo Finance.

- **Most actively traded pure water names:** Xylem, Veralto, Pentair, Advanced Drainage Systems, A. O. Smith, Watts, Badger Meter, Hayward.
- **Best 90 days:** Rotork +65% (bid from ABB), Georg Fischer +33%, Reliance Worldwide +28%, NIBE +25%, Coway +19%.
- **Best year to date:** Gorman-Rupp +55%, Rotork +51%, Aalberts +50%, VA Tech Wabag +49%, Torishima +45%, Sabesp +41%, IDEX +32%, Watts +28%.

- **Worst year to date:** Wienerberger -50%, **Pentair -50%**, Energy Recovery -49%, Shakti Pumps -42%, Beijing Enterprises Water -38%, Pool Corp -30%, Hayward -27%, Fluidra -26%, Badger Meter -25%, **Xylem -25%**.

"Water % of sales" is an estimate in every row. "Type" marks whether water is the main business (Core), a minority (Non-pure), a distributor, or a regulated utility.

1.2 The full list, with the stage 2 result for each

COMPANY	TICKER	MARKET	TYPE	MKT CAP $BN	WATER % OF SALES (EST.)	P/E	FWD P/E	ROE % (3-YR TREND)	CASH CONVERSION 3-YR %	LIABILITIES / ASSETS %	YTD %	STEP 2 RESULT
Xylem	XYL	US	Core	23.98	~95	24.44	17.53	8.4 (flat)	136	33	-24.6	Out: ROE 8.4% and flat, far below 15%. Passes the other four tests.
Veralto	VLTO	US	Core	23.63	~60	24.42	21.46	36.5 (flat)	112	60	-2.9	Keep (yellow): liabilities/assets 60%, the other four pass
Watts Water Technologies	WTS	US	Core	11.77	~90	30.81	26.46	18.25 (flat)	120	30	27.8	Keep
Advanced Drainage Systems	WMS	US	Core	9.49	~95 (storm/on-site)	21.48	19.78	25.1 (declining)	153	58	-13.1	Keep
Pentair	PNR	US	Core	8.38	~90	13.51	10.85	17.48 (declining)	116	44	-49.6	Keep
Zurn Elkay Water Solutions	ZWS	US	Core	7.72	~95	28.97	23.86	12.06 (improving)	190	40	0.2	Out: Passes on improving ROE (12%) only; moat ★★★; P/E 29; cut in second pass
A. O. Smith	AOS	US	Core	7.66	~95 (incl. water heating)	15.71	14.47	29.2 (declining)	114	41	-15.7	Keep
Franklin Electric	FELE	US	Core	4.32	~80	28.18	20.09	11.45 (declining)	157	32	2.3	Out: ROE 11.45%
Badger Meter	BMI	US	Core	3.81	~90	30.75	27.56	21.47 (improving)	125	27	-24.7	Keep
Mueller Water Products	MWA	US	Core	3.38	~95	15.26	14.12	21.4 (improving)	144	47	-9.0	Keep
Hawkins	HWKN	US	Core	2.71	~45	33.67	30.82	16.4 (declining)	172	46	-8.5	Out: P/E 34 and water is under half of sales
Hayward Holdings	HAYW	US	Core	2.41	~95 (pool)	15.76	12.54	10.05 (improving)	186	49	-26.5	Out: Passes on improving ROE (10%) only; moat ★★★; cut in second pass
Gorman-Rupp	GRC	US	Core	1.95	~70	31.25	24.97	13.45 (improving)	214	52	55.0	Out: ROE 13% improving but P/E 31 after +55% this year; moat ★★
Lindsay	LNN	US	Core	1.14	~85 (irrigation)	21.55	20.36	14.61 (declining)	164	37	-5.0	Out: ROE 14.61%
Consolidated Water	CWCO	US	Core	0.49	100	29.99	26.94	8.7 (declining)	113	12	-13.3	Out: ROE 8.7%
Energy Recovery	ERII	US	Core	0.35	~95	24.5	1003.3	11.03 (flat)	97	11	-49.3	Out: ROE 11.03%, P/E too high
Ferguson Enterprises	FERG	US	Distributor	42.57	~30	21.48	18.31	n/a (n/a)	107	66	-1.2	Out: liabilities/assets 66%
Core & Main	CNM	US	Distributor	7.69	~85	16.67	12.72	24.01 (declining)	191	66	-22.4	Out: liabilities/assets 66%
Pool Corp	POOL	US	Distributor	5.8	~90 (pool)	14.7	14.08	33.06 (declining)	140	67	-30.3	Out: liabilities/assets 67%

COMPANY	TICKER	MARKET	TYPE	MKT CAP $BN	WATER % OF SALES (EST.)	P/E	FWD P/E	ROE % (3-YR TREND)	CASH CONVERSION 3-YR %	LIABILITIES / ASSETS %	YTD %	STEP 2 RESULT
Danaher	DHR	US	Non-pure	154.52	<5	39.15	24.84	7.05 (flat)	165	37	-4.0	Out: water is a minority of sales (not a pure play)
Ecolab	ECL	US	Non-pure	79.01	~50	37.82	32.65	22.52 (improving)	147	60	7.4	Out: water is a minority of sales (not a pure play)
Roper Technologies	ROP	US	Non-pure	36.01	~7	15.31	15.44	7.93 (flat)	156	43	-18.2	Out: water is a minority of sales (not a pure play)
ITT	ITT	US	Non-pure	18.0	~10	40.06	22.76	14.29 (declining)	125	35	16.1	Out: water is a minority of sales (not a pure play)
IDEX	IEX	US	Non-pure	17.27	~20	33.7	25.53	12.34 (declining)	130	42	31.7	Out: water is a minority of sales (not a pure play)
Mueller Industries	MLI	US	Non-pure	13.43	~45	15.82	14.35	25.61 (declining)	105	13	5.8	Out: water is a minority of sales (not a pure play)
Graco	GGG	US	Non-pure	12.67	<5	24.59	23.08	19.93 (declining)	129	19	-4.6	Out: water is a minority of sales (not a pure play)
Donaldson	DCI	US	Non-pure	10.08	<5	22.58	20.08	28.21 (flat)	114	56	-2.0	Out: water is a minority of sales (not a pure play)
Flowserve	FLS	US	Non-pure	9.19	~10	25.16	16.54	17.18 (improving)	154	61	4.2	Out: water is a minority of sales (not a pure play)
Valmont Industries	VMI	US	Non-pure	9.03	~25 (irrigation)	18.21	19.12	21.86 (improving)	157	51	16.3	Out: water is a minority of sales (not a pure play)
Tetra Tech	TTEK	US	Non-pure	8.54	~45	20.03	19.75	13.73 (declining)	139	58	-0.6	Out: water is a minority of sales (not a pure play)
CECO Environmental	CECO	US	Non-pure	3.86	~25	n/a	24.81	18.47 (improving)	99	64	10.0	Out: water is a minority of sales (not a pure play)
Itron	ITRI	US	Non-pure	3.75	~20	14.27	13.15	19.26 (improving)	121	53	-7.8	Out: water is a minority of sales (not a pure play)
Montrose Environmental	MEG	US	Non-pure	0.48	~25	n/a	8.33	-0.17 (improving)	n/a	54	n/a	Out: water is a minority of sales (not a pure play)
American Water Works	AWK	US	Utility	25.61	100 (utility)	22.34	22.11	10.5 (flat)	192	69	-1.2	Out: regulated utility or concession operator, not technology
Sabesp (ADR)	SBS	Brazil/US ADR	Utility	23.65	100 (utility)	15.24	16.89	21.33 (improving)	96	59	41.3	Out: regulated utility or concession operator, not technology
Essential Utilities	WTRG	US	Utility	11.06	~55 (utility)	19.93	17.31	9.44 (flat)	159	65	1.6	Out: regulated utility or concession operator, not technology

COMPANY	TICKER	MARKET	TYPE	MKT CAP $BN	WATER % OF SALES (EST.)	P/E	FWD P/E	ROE % (3-YR TREND)	CASH CONVERSION 3-YR %	LIABILITIES / ASSETS %	YTD %	STEP 2 RESULT
American States Water	AWR	US	Utility	3.26	~90 (utility)	22.51	21.85	13.27 (declining)	132	62	13.5	Out: regulated utility or concession operator, not technology
California Water Service	CWT	US	Utility	2.84	100 (utility)	20.63	18.02	7.68 (improving)	219	70	6.0	Out: regulated utility or concession operator, not technology
H2O America (ex-SJW Group)	HTO	US	Utility	2.45	100 (utility)	20.96	22.67	7.06 (flat)	224	70	19.4	Out: regulated utility or concession operator, not technology
Geberit	GEBN.SW	Switzerland	Core	20.6	~100 (sanitary)	28.04	26.05	42.41 (flat)	142	61	-14.7	Keep (yellow): liabilities/assets 61%, the other four pass
Georg Fischer	GF.SW	Switzerland	Core	5.73	~90	n/a	28.1	190.48 (improving)	181	n/a	8.4	Out: Balance-sheet data not reliable after divestments; net loss in H1 2026
Fluidra	FDR.MC	Spain	Core	3.65	~95 (pool)	19.57	11.84	10.98 (improving)	253	53	-25.9	Out: Passes on improving ROE (11%) only; moat ★★★; cut in second pass
Kemira	KEMIRA.HE	Finland	Core	2.75	~45	17.51	13.4	11.09 (flat)	224	46	-13.6	Out: ROE 11.09%
KSB (ord; pref KSB3.DE)	KSB.DE	Germany	Core	1.59	~40	10.85	9.77	12.21 (declining)	181	52	-14.2	Out: ROE 12.21%
Genuit Group	GEN.L	UK	Core	0.93	~65	20.77	10.94	6.92 (flat)	261	40	-14.7	Out: ROE 6.92%
Alfa Laval	ALFA.ST	Sweden	Non-pure	23.9	~15	29.14	25.83	19.35 (improving)	141	55	24.0	Out: water is a minority of sales (not a pure play)
Halma	HLMA.L	UK	Non-pure	17.63	~12	35.94	26.24	18.31 (improving)	145	42	-0.3	Out: water is a minority of sales (not a pure play)
Andritz	ANDR.VI	Austria	Non-pure	8.94	~10	17.17	14.46	19.3 (declining)	114	71	21.9	Out: water is a minority of sales (not a pure play)
NIBE	NIBE-B.ST	Sweden	Non-pure	8.91	~10	33.61	23.41	7.3 (declining)	139	53	24.0	Out: water is a minority of sales (not a pure play)
Spirax Group	SPX.L	UK	Non-pure	7.09	~10	27.09	21.31	13.46 (declining)	169	54	6.6	Out: water is a minority of sales (not a pure play)
Sulzer	SUN.SW	Switzerland	Non-pure	6.46	~25	17.83	15.26	23.2 (improving)	126	71	7.4	Out: water is a minority of sales (not a pure play)
Rotork	ROR.L	UK	Non-pure	5.28	~25	33.07	26.93	19.77 (flat)	120	28	50.7	Out: water is a minority of sales (not a pure play)
Aalberts	AALB.AS	Netherlands	Non-pure	5.05	~45	30.48	13.51	5.95 (declining)	202	44	50.2	Out: water is a minority of sales (not a pure play)
Interpump	IP.MI	Italy	Non-pure	4.26	~25	18.11	15.94	10.16 (declining)	144	38	-22.7	Out: water is a minority of sales (not a pure play)

COMPANY	TICKER	MARKET	TYPE	MKT CAP $BN	WATER % OF SALES (EST.)	P/E	FWD P/E	ROE % (3-YR TREND)	CASH CONVERSION 3-YR %	LIABILITIES / ASSETS %	YTD %	STEP 2 RESULT
Orbia (Wavin, Netafim)	ORBIA.MX	Mexico	Non-pure	2.38	~45	n/a	30.24	-11.48 (declining)	n/a	73	45.4	Out: water is a minority of sales (not a pure play)
Wienerberger	WIE.VI	Austria	Non-pure	1.88	~30	28.03	13.35	5.91 (declining)	284	54	-49.7	Out: water is a minority of sales (not a pure play)
Norma Group	NOEJ.DE	Germany	Non-pure	0.48	<10 post-disposal	1.89	18.56	-16.9 (declining)	n/a	55	3.3	Out: water is a minority of sales (not a pure play)
Veolia	VIE.PA	France	Utility/Services	25.52	~45	17.99	12.38	12.16 (improving)	467	81	4.6	Out: regulated utility or concession operator, not technology
United Utilities	UU.L	UK	Utility	13.99	100 (utility)	16.59	13.41	27.67 (improving)	311	88	19.2	Out: regulated utility or concession operator, not technology
Severn Trent	SVT.L	UK	Utility	12.36	100 (utility)	25.13	15.21	20.54 (improving)	404	90	10.9	Out: regulated utility or concession operator, not technology
Pennon Group	PNN.L	UK	Utility	2.22	100 (utility)	18.5	12.24	6.47 (improving)	2494	81	-32.3	Out: regulated utility or concession operator, not technology
Kurita Water Industries	6370.T	Japan	Core	5.22	100	19.0	16.84	11.79 (improving)	148	39	22.5	Out: Passes on improving ROE (12%) only; moat ★★★; cut in second pass
Coway	021240.KS	Korea	Core	4.98	~40	10.5	9.62	18.14 (flat)	49	48	16.7	Out: Cash conversion fails (rental accounting); water under half of sales
Organo	6368.T	Japan	Core	4.03	100	22.66	19.91	21.5 (improving)	n/a	36	7.3	Out: Cash conversion 65% in latest year (below 70%)
Reliance Worldwide	RWC.AX	Australia	Core	2.44	~95 (plumbing)	384.95	18.05	0.47 (declining)	310	38	21.2	Out: ROE 0.47%, P/E too high
Beijing OriginWater	300070.SZ	China A	Core	1.86	~95	62.95	56.39	0.55 (declining)	148	62	-12.2	Out: ROE 0.55%, liabilities/assets 62%, P/E too high
Kirloskar Brothers	KIRLOSBROS.NS	India	Core	1.38	~70	35.93	n/a	16.49 (declining)	96	44	5.0	Out: P/E 36, moat ★★
VA Tech Wabag	WABAG.NS	India	Core	1.25	100	30.96	24.76	15.67 (flat)	76	58	48.6	Out: Project contractor, weak cash conversion (76%), P/E 31, moat ★★
Nomura Micro Science	6254.T	Japan	Core	0.91	100	41.0	12.58	9.93 (declining)	-115	64	26.9	Out: ROE 9.93%, cash conversion -115%, liabilities/assets 64%, P/E too high
METAWATER	9551.T	Japan	Core	0.87	100	14.59	12.86	10.57 (flat)	69	57	-6.4	Out: ROE 10.57%, cash conversion 69%

COMPANY	TICKER	MARKET	TYPE	MKT CAP $BN	WATER % OF SALES (EST.)	P/E	FWD P/E	ROE % (3-YR TREND)	CASH CONVERSION 3-YR %	LIABILITIES / ASSETS %	YTD %	STEP 2 RESULT
Shakti Pumps	SHAKTIPUMP.NS	India	Core	0.53	~95	24.37	15.56	17.97 (declining)	24	44	-42.1	Out: cash conversion 24%
Ion Exchange (India)	IONEXCHANG.NS	India	Core	0.49	~95	48.97	n/a	11.23 (declining)	24	60	2.7	Out: ROE 11.23%, cash conversion 24%, liabilities/assets 60%, P/E too high
Torishima Pump	6363.T	Japan	Core	0.48	~80	10.12	10.1	10.23 (declining)	30	50	45.0	Out: ROE 10.23%, cash conversion 30%
Ningbo Water Meter	603700.SS	China A	Core	0.34	100	33.78	n/a	5.76 (declining)	142	35	-15.5	Out: ROE 5.76%
Kubota	6326.T	Japan	Non-pure	18.65	~12	11.14	11.44	7.72 (declining)	90	54	18.5	Out: water is a minority of sales (not a pure play)
Ebara	6361.T	Japan	Non-pure	13.73	~35	27.82	15.84	15.81 (flat)	72	52	29.9	Out: water is a minority of sales (not a pure play)
Sembcorp Industries	U96.SI	Singapore	Non-pure	8.2	~5	17.7	10.11	17.56 (declining)	138	68	-2.0	Out: water is a minority of sales (not a pure play)
China Lesso	2128.HK	HK/China	Non-pure	1.23	~75 (pipes)	8.78	5.73	4.86 (declining)	278	56	-33.0	Out: water is a minority of sales (not a pure play)
Guangdong Investment	0270.HK	HK/China	Utility	7.32	~60 (utility)	11.7	11.62	9.17 (flat)	280	43	30.8	Out: regulated utility or concession operator, not technology
Beijing Enterprises Water	0371.HK	HK/China	Utility	1.95	100 (utility)	10.47	9.77	4.81 (flat)	94	66	-38.2	Out: regulated utility or concession operator, not technology
China Water Affairs	0855.HK	HK/China	Utility	0.88	~85 (utility)	6.98	6.34	7.56 (declining)	211	64	-18.2	Out: regulated utility or concession operator, not technology
SIIC Environment	BHK.SI	Singapore/HK	Utility	0.31	~90 (utility)	3.52	n/a	5.91 (flat)	229	63	-13.0	Out: regulated utility or concession operator, not technology

1.3 Unlisted companies and possible future listings

COMPANY	OWNER	NOTE
Grundfos (Denmark)	Poul Due Jensen Foundation	World's largest pump maker, about €4.5bn revenue (third-party figure). No listing plan found.
Wilo (Germany)	Oplaender Foundation, about 90%	2025 revenue €1.92bn. No listing plan found.
Culligan (US)	BDT & MSD	Largest consumer water-treatment brand. No 2026 listing news found.
Kinetico (US)	Axel Johnson Inc.	No valuation found.
Aquatech, Gradiant (US)	Private / venture-backed	Industrial water treatment. No valuation found.
Saur (France)	EQT and partners	Reported to be preparing a sale of its municipal water business.
Taco Group (US)	Family, now bought by Pentair	$1.4bn, closed 1 Oct 2026.
Cornell Pump, Roper Pump (US)	Indicor, being bought by Xylem	$1.46bn, closing Q4 2026.

The best private pump makers (Grundfos, Wilo) are foundation-owned and unlikely to list. No valuations were found for any of them.

2. Stage 2: the five hard tests

#	TEST	PASS MARK	ALLOWANCE
1	P/E	Reasonable against history and peers. Used here: trailing P/E 35 or less and forward P/E 30 or less.	
2	ROE	Above 15%	Or clearly improving over three years
3	Operating cash flow / net income (3 years)	Above 70%	
4	Total liabilities / total assets	Below 60%	
5	Moat, quick view	★★★ or better	

Rules for keeping: all five pass, or four pass and the fifth is close (marked yellow). The framework also asks that names with water as a minority of sales be treated with caution. Here they were set aside so that the funnel stays a water funnel. Utilities were set aside because they are regulated assets, not technology.

2.1 First pass

Fifteen core names passed the numbers: Veralto, Geberit, Watts, Badger Meter, A. O. Smith, Mueller Water, Advanced Drainage Systems, Pentair, Zurn Elkay, Hayward, Fluidra, Kurita, Hawkins, Kirloskar Brothers and VA Tech Wabag.

2.2 Second pass (the framework says: if more than 12 survive, raise the bar)

Removed in the second pass:

COMPANY	WHY
Hayward, Fluidra	ROE of 10 to 11%, passing only because it is improving. Moat ★★★. Same pool-cycle risk as Pentair with lower returns.
Zurn Elkay	ROE 12%, passing only on trend. P/E 29. Moat ★★★.
Kurita	ROE 12%, passing only on trend. Moat ★★★.
Hawkins	P/E 34. Water treatment is under half of sales.
Kirloskar Brothers	P/E 36. Moat ★★.
VA Tech Wabag	Project contractor. Cash conversion 76%, barely passing. P/E 31. Moat ★★.

2.3 The eight kept

COMPANY	FWD P/E	ROE	CASH CONVERSION (3-YR)	LIABILITIES / ASSETS	MOAT	OVERALL	KEEP?
Veralto (VLTO)	21.5	36.5%	112%	60% 🟡	★★★★★	4 pass + 1 close	Keep (yellow)
Geberit (GEBN)	26.1	42.4%	142%	61% 🟡	★★★★★	4 pass + 1 close	Keep (yellow)
Watts Water (WTS)	26.5	18.3%	120%	30%	★★★★	5 pass	Keep
Badger Meter (BMI)	27.6	21.5%	125%	27%	★★★★	5 pass	Keep
A. O. Smith (AOS)	14.5	29.2%	114%	41%	★★★★	5 pass	Keep
Mueller Water (MWA)	14.1	21.4%	144%	47%	★★★★	5 pass	Keep
Advanced Drainage (WMS)	19.8	25.1%	153%	58%	★★★★	5 pass	Keep
Pentair (PNR)	10.9	17.5%	116%	44%	★★★	5 pass	Keep

2.4 Notable names that did not make it

COMPANY	REASON
Xylem	**ROE 8.4% and flat for three years.** Passes P/E (17.5 forward), cash conversion (136%), leverage (33%) and moat (★★★★). Four passes, but the fifth is not close. The 2023 all-share Evoqua deal is the cause. See the Xylem research report.
Ecolab	Liabilities/assets 60.3% and P/E 38. Water is about half of sales.
Franklin Electric	ROE 11.5% and falling.
Pool Corp, Core & Main, Ferguson	Distributors with liabilities/assets of 66 to 67%.
Organo, Nomura Micro, Kurita	Ultrapure water for chip factories. Strong demand, but cash conversion or ROE fall short.
Georg Fischer	Now a pure piping company after selling two divisions. Published balance-sheet data looked unreliable, and it reported a net loss in H1 2026. Worth revisiting once clean accounts exist.
Rotork	Under a cash offer from ABB at 503p. The price is a deal spread, not a valuation.
Chinese water names	Beijing Enterprises Water, OriginWater, China Lesso, China Water Affairs: ROE of 0.5 to 8% and falling profits.
Diversified groups that would pass on the numbers	Mueller Industries, Itron, Valmont, Donaldson, Graco, Alfa Laval, Halma. Good companies. Water is 5 to 45% of sales, so they are not a way to own water.

3. Stage 3: close analysis of the eight

Figures are from the stage 1 table (StockAnalysis, latest fiscal year). Business descriptions and moat judgments draw on general knowledge of each company and were not re-verified against 2026 filings, except for Pentair.

Veralto (VLTO) · $23.6bn

- **Business:** water-quality testing instruments and chemicals (Hach), industrial water treatment (ChemTreat, Trojan UV), plus a product-marking business (Videojet). Spun out of Danaher in 2023. About 60% of sales are water.
- **Financials:** revenue +6.0%, gross margin 59.9%, operating margin 23.2%, ROE 36.5%, cash conversion 112%.
- **Moat:** Hach instruments lock in sales of their own reagents, which utilities must use for regulatory reporting. A razor-and-blade model with a regulated customer.
- **Risks:** liabilities/assets at 60% and rising to 63.8% in the latest quarter. Paying about 17 times EBITDA for Cleanwater1 ($465m). 40% of sales are not water.
- **Valuation:** P/E 24.4, forward 21.5. Down 3% this year. Reasonable for the quality.
- **Finalist?** Yes. Highest quality on the list at a mid-range price.

Geberit (GEBN.SW) · $20.6bn

- **Business:** behind-the-wall sanitary systems, piping and bathroom ceramics, sold through plumbers across Europe.
- **Financials:** revenue +2.5%, gross margin 73.6%, operating margin 24.3%, ROE 42.4%, cash conversion 142%.
- **Moat:** plumbers are trained on Geberit systems and specify them by habit. Very strong in German-speaking Europe.
- **Risks:** European construction cycle. Slow growth. Liabilities/assets 61%.
- **Valuation:** P/E 28.0, forward 26.1. Down 15% this year. Still full for 2.5% growth.
- **Finalist?** No. Excellent company, but the price asks a lot for the growth, and the Swiss listing adds currency risk for a dollar or euro investor.

Watts Water Technologies (WTS) · $11.8bn

- **Business:** valves, backflow preventers, drains and water-quality products for commercial and residential buildings.
- **Financials:** revenue +8.3%, gross margin 49.4%, operating margin 19.3%, ROE 18.3%, liabilities/assets 30%.
- **Moat:** products are written into plumbing codes and specified by engineers. Long record of small, sensible acquisitions.
- **Risks:** commercial construction. A family-controlled share structure.
- **Valuation:** P/E 30.8, forward 26.5, after rising 28% this year. The market has already rewarded it.
- **Finalist?** No. Right company, wrong moment.

Badger Meter (BMI) · $3.8bn

- **Business:** smart water meters, radios and software for North American utilities.
- **Financials:** revenue +10.9%, gross margin 41.7%, operating margin 20.0%, ROE 21.5%, liabilities/assets 27% (net cash).
- **Moat:** a utility that installs a metering system keeps it for 15 to 20 years. Software revenue is growing.
- **Risks:** utility project timing (Xylem reported meter delays in 2026). Small company, high expectations.
- **Valuation:** P/E 30.8, forward 27.6, even after falling 25% this year.
- **Finalist?** Watch list. The fastest grower of the eight, but the most expensive.

A. O. Smith (AOS) · $7.7bn

- **Business:** water heaters and boilers in North America, water treatment, plus businesses in China and India.
- **Financials:** revenue +0.3%, gross margin 38.8%, operating margin 19.0%, ROE 29.2%, cash conversion 114%, liabilities/assets 41%.
- **Moat:** a leading share of the North American water-heater market, where most sales are replacements of failed units. Strong plumber and wholesaler relationships.
- **Risks:** no growth at present. China has been shrinking. Heat-pump regulation changes the product mix. Family-controlled share structure.
- **Valuation:** P/E 15.7, forward 14.5. Down 16% this year. Low for a 29% ROE.
- **Finalist?** Yes. Highest return on equity among the cheap names.

Mueller Water Products (MWA) · $3.4bn

- **Business:** fire hydrants, gate valves and leak detection for water utilities.
- **Financials:** revenue +8.7%, gross margin 36.4%, operating margin 19.1%, ROE 21.4% and rising (12.4% two years ago), cash conversion 144%.
- **Moat:** a very large installed base of hydrants and valves in US cities, where utilities standardize on one make.
- **Risks:** exposure to US municipal budgets as federal infrastructure money runs down. Brass and scrap costs. Foundry operations.
- **Valuation:** P/E 15.3, forward 14.1. Down 9% this year.
- **Finalist?** Watch list. Cheap and improving, but the most exposed of the eight to the US funding cliff.

Advanced Drainage Systems (WMS) · $9.5bn

- **Business:** plastic stormwater pipe and septic systems.
- **Financials:** revenue +5.0%, operating margin 22.7%, ROE 25.1% but falling (51% two years ago), cash conversion 153%, liabilities/assets 58%.
- **Moat:** scale. Plastic pipe keeps taking share from concrete and steel. Uses recycled plastic as a cost advantage.
- **Risks:** construction cycle, resin prices, ROE trend.
- **Valuation:** P/E 21.5, forward 19.8. Down 13% this year.
- **Finalist?** No. It is a stormwater and construction business more than a water-technology one, and returns are trending down.

Pentair (PNR) · $8.4bn

- **Business:** pool equipment, filtration and ice machines, pumps.

- **Financials:** revenue +2.3% in 2025, operating margin 20.5% (GAAP), ROE 17.5%, cash conversion 116%. 2026 guidance cut in July after pool distributors cut inventory.
- **Moat:** installed base and a three-player pool market. Weakened by admitted share loss in 2026.
- **Risks:** pool share loss, forecasting credibility, new debt for the Taco deal, class actions.
- **Valuation:** P/E 13.5, forward 10.9. Down 50% this year. Cheapest of the eight.
- **Finalist?** Yes, as the high-risk, high-upside slot. Full analysis in the Pentair research report.

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4. Stage 4: the three finalists through four lenses

The framework picks finalists for balance, not by ranking: one high-certainty holding, one middle case, one high-risk case.

4.1 Veralto: the high-certainty core

Duan Yongping, the business. Veralto sells the instruments a water utility uses to prove its water is safe, and then sells the chemicals those instruments consume, every day, for decades. It is a good business because the customer is required by law to test, cannot easily switch instrument families, and spends very little on this compared with the cost of getting it wrong. The second half of the company (printing codes on packaging) has the same pattern of equipment followed by consumables.

Buffett, the moat.

MOAT	STRENGTH	EVIDENCE
Brand / pricing power	★★★★★	Gross margin 59.9%, the highest of any pure water name on the list
Switching costs	★★★★★	Instruments tied to proprietary reagents and to regulatory methods
Network effects	★	None of note
Scale	★★★★	Global service and distribution
Technology / regulation	★★★★	Methods accepted by regulators

In ten years the moat is very likely intact. Margin of safety at 21.5 times forward earnings is thin: this is a fair price for a very good business, not a bargain.

Munger, how it fails. Three paths: overpaying for acquisitions now that it is independent (the Cleanwater1 deal at about 17 times EBITDA is a warning), leverage creeping up (liabilities/assets went from 59.6% to 63.8% in half a year), and the non-water half dragging growth. Smart people stay away because 21 times earnings for 6% growth leaves little room. Worst case, simple arithmetic: 16 times a flat earnings base would be about 25% below today's price.

Li Lu, the long view. Water testing is a permanent need that grows with regulation. PFAS rules add a new thing to measure, although the US rules were partly relaxed in 2026. It is not a winner-takes-all market, but the leader keeps its place for a very long time.

```
Rating: ★★★★☆
Role: core
Entry: acceptable at the current price, better on a 10% pullback
Weight within a water allocation: 45 to 55%
Watch: liabilities/assets above 65%, acquisition multiples, organic growth below 4%
```

4.2 A. O. Smith: the cheap, high-return satellite

Duan Yongping, the business. When a water heater fails, the household has no hot water and replaces it within days, usually with whatever brand the plumber carries. A. O. Smith is one of the brands the plumber carries. That is a good business: demand is non-discretionary and repeat, and the buyer is not price-shopping. It is also a slow business, with sales flat in 2025.

Buffett, the moat.

MOAT	STRENGTH	EVIDENCE
Brand / pricing power	★★★★	ROE 29%, operating margin 19% in a mature product
Switching costs	★★★	Wholesaler and plumber relationships, not contracts
Network effects	★	None
Scale	★★★★	A leading North American share, concentrated industry
Technology / regulation	★★★	Efficiency rules favour large makers

In ten years people will still need hot water. The margin of safety is the price: 14.5 times forward earnings and liabilities at only 41% of assets.

Munger, how it fails. China keeps shrinking and takes years to stop being a drag. Regulation pushes the market toward heat pumps, where its lead is smaller. Management spends on acquisitions to find growth (it paid $470m for Leonard Valve, about 12 times EBITDA). Smart people stay away because there is no growth. Worst case: 11 times flat earnings, about 25% below today.

Li Lu, the long view. A mature, consolidated industry. Not a paradigm shift. The upside is India and water treatment, which are small. A steady compounder if bought cheaply, not a growth story.

```
Rating: ★★★★☆
Role: satellite
Entry: reasonable at the current price
Weight within a water allocation: 25 to 35%
Watch: North American volumes, China losses, margin holding near 19%
```

4.3 Pentair: the turnaround

Duan Yongping, the business. A replacement business at a 25% margin that got greedy on price. The business model is sound. The "do the right thing by the customer" part failed in 2025 and has to be rebuilt.

Buffett, the moat. ★★★ overall: brand and pricing power ★★★ (was ★★★★), switching costs ★★★, scale ★★★, network effects ★★, technology ★★. The margin of safety is the price: 10.9 times forward earnings and an 8% free cash flow yield.

Munger, how it fails. Share loss in pool equipment continues. Pool margins reset lower for good. The Taco debt meets a weak housing market. Smart people stay away because management was surprised by its own largest customer and went through three finance chiefs in a year. Worst case in the research report: about $30 in today's money.

Li Lu, the long view. The installed base of pools and buildings is durable. The market is pricing a channel correction as if it were permanent. That is either the opportunity or the trap, and pool market share over the next year will show which.

```
Rating: ★★★☆☆
Role: turnaround / option
Entry: wait for Q3 results (23 Oct 2026); more attractive below about $47
Weight within a water allocation: 10 to 20%
Watch: a third guidance cut, pool margin below 30%, insider buying, the new CFO's first guidance
```

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5. Summary

5.1 The finalists

COMPANY	ROLE	RATING	WEIGHT IN A WATER ALLOCATION	CORE LOGIC	KEY RISK
Veralto	Core	★★★★☆	45 to 55%	Regulated testing with locked-in consumables, 60% gross margin	Full price, rising leverage
A. O. Smith	Satellite	★★★★☆	25 to 35%	29% ROE at 14.5 times earnings, replacement demand	No growth, China
Pentair	Turnaround	★★★☆☆	10 to 20%	8% cash yield, installed base, sentiment at a low	Share loss, credibility
Badger Meter (watch)		★★★☆☆		Fastest growth, net cash	27.6 times forward earnings
Mueller Water (watch)		★★★☆☆		Cheap and improving	US municipal funding cliff

The weights are the framework's standard illustration of how a theme could be balanced between certainty and upside. They are not a recommendation for any individual.

5.2 Funds, for those who would not pick shares

FUND	LISTING	SIZE	YEARLY COST	TOP HOLDINGS	2026 TO DATE
Invesco Water Resources (PHO)	US	$1.90bn	0.59%	Ecolab, Ferguson, Waters, IDEXX, Roper	-2.6%
First Trust Water (FIW)	US	$1.72bn	0.50%	Agilent, Waters, Ecolab, Veralto, Ferguson	-3.3%
Invesco S&P Global Water (CGW)	US	$1.03bn	0.58%	Sabesp, American Water, Xylem, United Utilities, Essential Utilities	+1.6%
iShares Global Water UCITS (IH2O)	London / Xetra	about $1.6bn	0.65%	Sabesp, American Water, Xylem, Essential Utilities, United Utilities	+1.7%

Two cautions. The US funds are not pure water: their largest holdings include laboratory and software companies. The global funds are about half utilities. No Hong Kong or mainland China water fund was found.

5.3 Where the industry stands

- **Valuation:** the water funds trade at 21 to 24 times earnings. No historical series was found, so a percentile cannot be given. Individual leaders are at multi-year lows: Xylem at 17.5 times forward earnings against 25 to 44 times at the last five year-ends, Pentair at 10.9 against a five-year average of 18.4.
- **Money flows:** roughly flat. As of June 2026, PHO had taken in about $22m and FIW had lost about $47m for the year.
- **Stage:** mature, with pockets of growth (data-centre cooling, ultrapure water for chip factories, smart metering, PFAS treatment).
- **Tailwinds:** ageing pipes (the US EPA estimates $1.25tn of need over 20 years), data-centre demand, active deal-making. 436 water deals completed in 2025 at an average of about 10.8 times EBITDA.
- **Headwinds:** the US infrastructure law's water funding ended on 30 Sep 2026 and the 2027 budget proposes cutting the state revolving funds by about 90%. US PFAS rules were partly relaxed in 2026. New pool construction is near 58,000 a year against 75,000 to 100,000 at the peak. China is shrinking.

5.4 How complete is the information?

DIMENSION	GRADE	NOTE
Company financial data	B	One source (StockAnalysis) for 82 companies. Xylem and Pentair were cross-checked against SEC filings. Georg Fischer and Roper have known anomalies.
Timeliness of valuation data	A	Prices and multiples as of 9 Oct 2026.
Industry structure	B	"Water % of sales" is estimated for every company. Market-size figures from three firms use different definitions and were not used for conclusions.
Management information	C	Covered in depth only for Xylem and Pentair. Veralto and A. O. Smith management were not researched for this funnel.

5.5 Data points to update

- **Estimates:** water share of sales for every company, all moat ratings, worst-case values for Veralto and A. O. Smith.

- **To verify:** the terms of Veralto's Cleanwater1 deal (one secondary source), Georg Fischer's balance sheet, the final US PFAS rule, the status of revolving-fund reauthorization after mid-2026.
- **To track:** Pentair Q3 (23 Oct), Xylem Q3 (27 Oct), and the Q3 reports of Veralto, A. O. Smith, Badger Meter and Mueller Water in late October and November.
- **Not done:** a full research report on Veralto or A. O. Smith. The framework's next step for a finalist is `/investment-research` or `/investment-checklist` before any decision.

5.6 AI bias check

BIAS	WHAT WAS DONE ABOUT IT
Preference for large companies	The stage 2 tests are numerical and were applied by script. Five of the eight kept are under $10bn.
Preference for English-language data	43 non-US names were included. Most failed on ROE or cash conversion, not on missing data. Asian small caps have thinner data, noted above.
Preference for a good story	Data-centre and chip-factory water names (Ebara, Organo, Nomura Micro, Georg Fischer) were tested on the same numbers and did not pass.
Preference for current winners	The ROE test allows "improving" names. Four passed that way and were cut only in the second pass, with reasons.
Preference for listed companies	Unlisted leaders are listed in 1.3. None can be bought.
Preference for what the reader already owns	Xylem was eliminated at stage 2 on the same rule as everyone else.

5.7 Sources

- **Company data:** StockAnalysis statistics, ratio, balance-sheet and cash-flow pages for each ticker (pattern: https://stockanalysis.com/stocks/xyl/statistics/ and https://stockanalysis.com/quote/swx/GEBN/financials/ratios/).
- **Prices:** Yahoo Finance daily closes to 9 Oct 2026.
- **Funds:** https://stockanalysis.com/etf/pho/ , /etf/fiw/ , /etf/cgw/ , /etf/pio/ ; https://www.etfcentral.com/compare-etfs/PHO-vs-FIW
- **Filings:** SEC XBRL for Xylem and Pentair (see their research reports).
- **Deals:** Roland Berger Water M&A Report 2026 (https://www.rolandberger.com/en/Insights/Publications/Water-M-A-Report-2026.html) · ABB / Rotork (https://www.ajbell.co.uk/news/articles/rotork-agrees-gbp4-billion-cash-buyout-abb) · Veralto / Cleanwater1 (https://www.acquiry.com/deal-intelligence/veralto-acquires-cleanwater1/) · A. O. Smith / LVC (https://www.tipranks.com/news/the-fly/a-o-smith-to-acquire-lvc-holdco-of-cranston-for-470m-thefly) · Xylem / Cornell and Roper (https://www.waterworld.com/drinking-water-treatment/distribution/news/55397171/xylem-to-acquire-cornell-pump-and-roper-pump-businesses-for-146b) · Pentair / Taco (https://smartwatermagazine.com/news/newsroom/pentair-to-acquire-taco-group-holdings-for-1-4-billion)
- **Policy:** US revolving-fund funding (https://www.everycrsreport.com/reports/IF13177.html ; https://www.constructiondive.com/news/cities-push-congress-avert-water-infrastructure-funding-cliff-nlc/821708/) · PFAS (https://www.jonesday.com/en/insights/2026/05/epa-proposes-to-rescind-certain-pfas-drinking-water-standards-and-extend-compliance-deadlines-for-pfoa-and-pfos)
- **Pool market:** https://www.tikr.com/blog/pool-corp-stock-plunges-14-on-sluggish-pool-builds-heres-where-the-stock-could-be-headed-in-2026
- **Georg Fischer:** https://www.cash.ch/news/top-news/warum-die-aktie-von-georg-fischer-um-weitere-20-prozent-steigen-kann-972762

Personal research made with AI help. Not investment advice. Verify before acting. https://turnivor.github.io/investment-reports/#water